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Section 1: Current Macroeconomic conditions

Brief summary

For the start, I will briefly go through the current macroeconomic situation in Nicaragua. The Nicaraguan economy went through a significant downturn in 2018 due to the socio-political crisis. After the pandemic, the economy started to recover. In 2024, GDP grew by 3.6%, with 3.8% projected for 2025 and 3.4% for 2026 (p. 1). The Nicaragua's main trading partner is the United States, which absorbed 51.4% of Nicaragua's exports in 2023 (p. 9). In recent years, the importance of remittances has increased significantly. In 2024, they accounted for 26.6% of GDP, which is the highest figure in Central America, with 84% of inflows originating in the US (p. 8).

Nicaragua had a positive current account surplus in 2024 of 4.2% of GDP, which helped Gross International Reserves grow as well. In October 2025, the balance was $7.6 billion, which would cover approximately 8 months of imports (p. 7). This is very important for the Nicaraguan economy and is a positive signal, because Nicaragua imports a large number of necessities such as oil, pharmaceuticals, etc. (Trademap.org). As a lower middle-income economy, it is sensitive to potential problems in the balance of payments. If such an economy does not have enough foreign currency to buy necessities and meet the basic needs of its inhabitants, it can lead to humanitarian disasters, and the country then becomes dependent on help from an international organisation, such as the IMF's Extended Credit Facility (ECF).

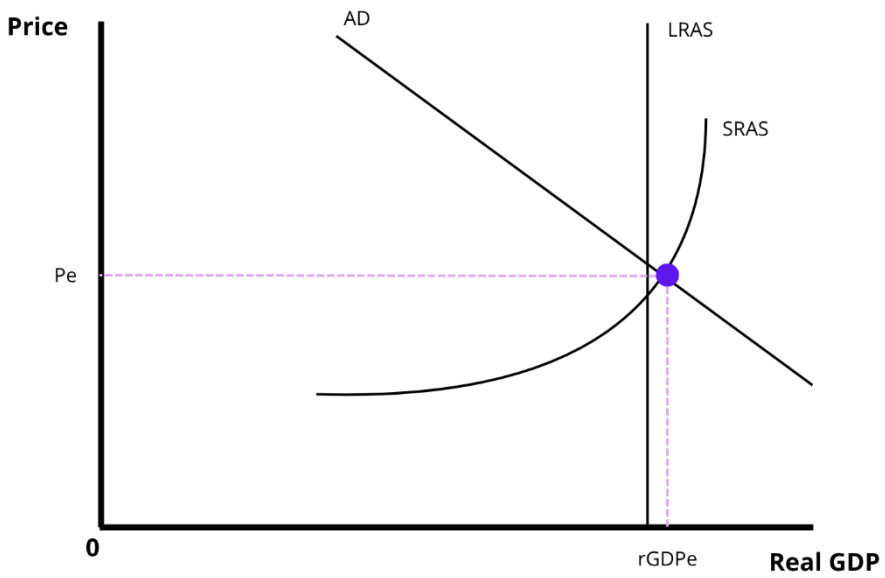
Nicaragua's main export commodities are gold, coffee, beef, textiles, and tobacco (p. 48). We can say that Nicaragua's exports are dependent particularly on the prices of gold, coffee beans and beef on international markets.

Nicaragua is using a crawling peg regime. The currency, the córdoba, is pegged to the US dollar, and the central bank (BCN) depreciates the currency at a pre-announced rate. From 2024, they crawled at 0%, and the exchange rate stayed at 36.6 córdobas per US dollar (p. 31). It is likely that the BCN chose to peg the currency because of trade advantages, as the US is the main trading partner. Generally, pegging the currency also increases the central bank's credibility, which makes controlling inflation easier.

Inflation rose above 10 percent after the pandemic in 2022, but declined significantly to 2.5 percent in 2025 (p. 26). This may strengthen public confidence in the central bank, as households and firms have recent experience of the BCN successfully bringing inflation down from elevated levels. According to the Modified Aggregate Supply equation, $\pi_t = \pi^e_{t-1} + (\mu + z) - \alpha U_t$, inflation expectations are one of the key determinants of future inflation. As a result, stronger confidence in the central bank's ability to control inflation could make it easier for the BCN to manage inflationary pressures in the future.

The economy experienced a positive output gap of 0.9% of potential GDP in 2025 (p. 32). This means the economy is producing above its capacity and may be slightly

overheated. According to the IMF document, it is projected that this gap will close by 2030 (p. 32). I will illustrate the current equilibrium position in the following diagram.



AD equation

Now we look at the AD curve and its formula to derive what drives the solid GDP growth. The formula for the AD curve, or national income, is AD = Y = C + I + G + (X – M). According to the IMF, the main driver is currently domestic consumption (C). Domestic consumption is driven mainly by increasing remittances, and therefore by increased disposable income of households. Remittances increased, in terms of percentage of GDP, by approximately 12% over the last 5 years (p. 31). Higher inflows increase people's money supply and push them to spend more. However, at the same time, this could potentially create a tendency for imports to increase, because increasing consumption also means increasing demand for foreign goods. When imports increase, it tends to push AD back to the left and affect the balance of payments negatively.

From the fact that increasing remittances drive the increase in consumption, which is defined by $C = c_0 + c_1 (Y – T)$, I can assume that the recipients are usually people with a higher marginal propensity to consume, as the money seems to be spent rather than saved. When I apply this assumption to the formula, remittances increase income Y, so the higher c_1 is, the higher the increase in C will be. Since poorer groups of society usually have a higher marginal propensity to consume, it is reasonable to assume that lower-income households receive more remittances than other economic groups.

Another factor that supports the increase in consumption is the growth in private credit in recent years, peaking at 20.7% in 2024 and continuing at 12.5% in 2025 (p. 31). This,

similarly to remittances, provides more available money for households to spend, which pushes the AD curve out to the right. The increase in credit might be driven by the central bank lowering interest rates, which were reduced to 6% in the last year (p. 7). This should increase demand for loans, as it makes money "cheaper" and more available. Higher credit growth rates also support investment by Nicaraguan companies, which drives a positive change in the I variable and is another positive factor for GDP growth. Potentially, the fact that the central bank is keeping the exchange rate with the US dollar steady can also play a positive role in the development of investment, particularly for exporting and importing companies. Steady exchange rates provide certainty, and certainty in general makes the environment for investment more favourable, since the future situation is more predictable for affected companies.

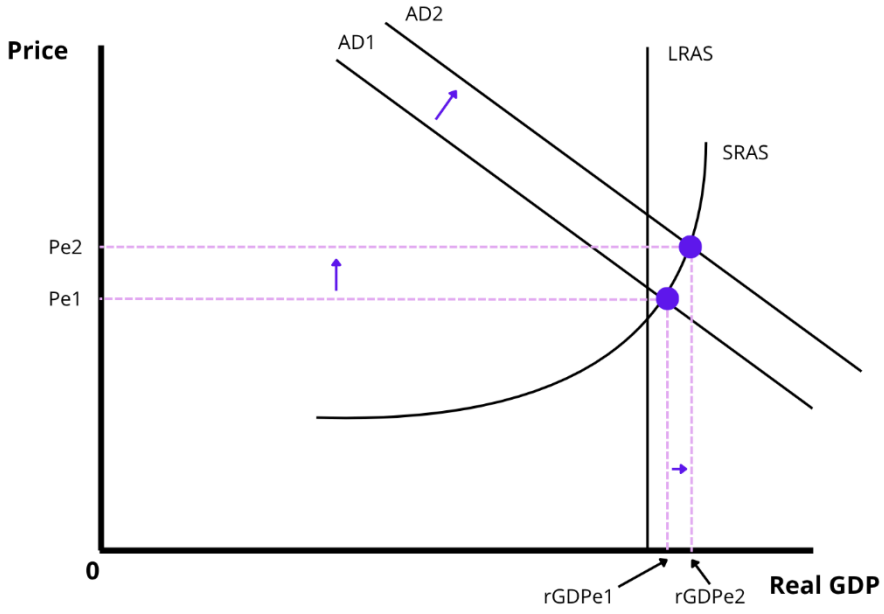
The final part of the AD equation, net exports (X − M), is one of the most important for lower and lower-middle income countries, as a long-term negative balance can lead to insufficient funds to import necessities into the country. Nicaragua's exports declined in the last two years, with imports declining as well, but not as sharply as exports. This suggests a negative trend in these terms, and the IMF projects a further decline in the country's exports, which, along with projected decreasing remittances, will lead to a negative current account balance at the end of this decade[1] (p. 45). I can conclude that the net exports part of the equation currently has a rather negative effect on national income.

Section 2: Fiscal analysis

Positive output gap

The Nicaraguan economy currently has a positive output gap of 0.9% of GDP. This is a very important piece of information for fiscal spending, and the government should take it into account when planning the fiscal budget and investments. If the government increases its spending and tries to push the AD curve further out, it can have the effect described by the following diagram.

[1] Currently, the main force keeping the balance of payments in positive figures is high remittance inflows.



As we can see in the diagram, a further shift of the AD curve would lead to a very small increase in GDP, but a much larger increase in inflation. This is typical behaviour when the economy is producing at or above its potential.

In these terms, the Nicaraguan government, in its planned budget for 2026, retains a fiscal surplus of 1.6% of GDP (p. 31), which is in line with general recommendations regarding the current state of its economy. The government is not overstimulating demand and is instead creating surpluses in order to prepare for worse times and different stages of the economic cycle. We can then say that Nicaragua is not falling into the same trap as many lower and lower-middle income countries, which tend to borrow more during economic growth because it is usually cheaper for them than when they are in recession, as the higher risk in recession generally makes interest rates higher. This can then have the negative effects described above.

Public debt

I will use the following debt-to-GDP equation to illustrate the country's current debt situation and why it is able to maintain a fiscal surplus.

$$\frac{B_t}{Y_t} - \frac{B_{t-1}}{Y_{t-1}} = r\left(\frac{B_{t-1}}{Y_{t-1}}\right) - g\left(\frac{B_{t-1}}{Y_{t-1}}\right) + \frac{G_t - T_t}{Y_t}$$

First of all, I need to determine the real interest rate in the economy. I will use the formula r = i – π. The nominal interest rate is 6%, and inflation declined to 2.5% in 2025. When we insert these figures into the formula, we get a real interest rate of 3.5%. Given the growth rate of 3.8%, we can see that the growth rate is higher than the real interest rate, which creates a tendency for the budget deficit to fall and for the surplus to rise.

When we look at the primary deficit, there is a surplus of 2.4% of GDP (p. 31). As we can see, there is no pressure for the budget deficit to increase, and therefore we can explain the favourable fiscal situation in Nicaragua's economy by these figures. This is a strong position that enables the government to reduce its debt without pushing the economy into recession. Note that the low inflation rate is key here, as it enables the central bank to keep interest rates at lower levels, which results in g > r and a more favourable position without further tightening of government spending.[2]

Public debt has been declining in recent years. The debt-to-GDP ratio was 43.2% in 2025, which is 15.3 percentage points less than in 2020. The IMF projected a further decrease in public debt until 2030 to 40.1% (p. 31). The fact that the government is decreasing debt should have an effect on government bonds - their price should increase[3] and, since there is an inverse relationship between price and yield, the yield should fall, making it cheaper to borrow in the future. Although this could cause pressures on depreciation of the local currency[4], which the central bank would have to solve through interventions, it does not necessarily have to be the case for Nicaragua. The main reason is that Nicaragua already has interest rates much higher than its main trading partner, the US, and therefore the effect on the córdoba's value does not have to be that strong.

The government's consolidation is also avoiding the crowding-out effect - pushing interest rates higher through heavy borrowing, and therefore decreasing firms' and households' willingness to borrow and invest. As I said earlier, a decrease in public debt should have the opposite effect of lowering interest rates instead, and therefore it is effectively supporting the C and I variables in the AD equation to grow further and drive economic growth in the future.

In terms of public debt, the IMF suggests looking mainly at domestic borrowing for new loans in the future. Currently, around 80.8% of Nicaragua's public debt is external, while domestic debt accounts for the remaining 19.2% (p. 28). External financing holds several risks, such as global market volatility and exposure to capital flight. Also, as Nicaragua is using a crawling peg regime with depreciation against the US dollar, the value of debt denominated in foreign currency rises each time the córdoba depreciates[5] - this has been solved by the zero crawl in recent years, but it was in play before, with the crawl usually around 5% (p. 8). Also, the country is exposed to a higher risk of debt overhang, which is a situation in which it needs to borrow more foreign currency to be able to repay past debts. Nicaragua has been a net payer since 2024, which means debt

[2] Because Nicaragua's debt is mostly external and denominated in foreign currency, I am aware that this computation can be quite far from the actual real interest rate. However, I believe it is sufficient for the purposes of this analysis.
[3] Lower overall debt = lower risk
[4] Since Nicaragua is using a crawling peg regime with a steady exchange rate in recent years.
[5] When denominated in the local currency.

service payments are currently higher than disbursements. Repayments are mainly funded by fiscal surpluses. This is a good signal of consolidation and debt reduction. However, the IMF mentions that it is also funded by increased disbursements from China and Central American Bank for Economic Integration (CABEI) (p. 13), which is not creating a problem at the moment, but it points to the risk of debt overhang if external debt tends to rise or the balance of payments goes into negative figures[6]. The problem with domestic borrowing is that it remains more expensive compared to international options, with a 7.1 real domestic interest rate (Debt sustainability analysis, p. 24) (p. 13).

IMF recommendations

Now I will elaborate on the IMF recommendations for Nicaragua's fiscal policy. The first suggestion is related to increasing tax revenues by eliminating VAT exemptions and addressing collection gaps (p. 13), and using the proceeds for infrastructure investment and targeted social spending. The document mentions that the VAT gap is currently 46%, which means that VAT actually collected is only 54% of the potential VAT revenue[7]. This suggests primarily inefficiencies in VAT collection. However, the government eliminated some VAT exemptions in 2019, which the IMF stated was one of the reasons why the VAT gap decreased in recent years (p. 57).

I will now try to show the potential effect if the government follows this suggestion and eliminates some VAT exemptions. By doing this, the government would effectively increase the tax burden, and with the suggested higher infrastructure investment, this can result in the balanced budget multiplier effect. I will use the following complex AD equation to demonstrate this.

$$Y = \left(\frac{C_0 + I_0}{1 - c_1 + \frac{m}{\varepsilon}}\right) - \left(\frac{h}{1 - c_1 + \frac{m}{\varepsilon}}\right) r + \left(\frac{1}{1 - c_1 + \frac{m}{\varepsilon}}\right) G - \left(\frac{c_1}{1 - c_1 + \frac{m}{\varepsilon}}\right) T + \left(\frac{m_F}{1 - c_1 + \frac{m}{\varepsilon}}\right) Y_F$$

As we can see, if we increase G and T by the same amount, it will have a positive effect on AD, as c_1 is always between 0 and 1. To find out how large the positive effect can be, we would need to know the value of c_1. The authorities highlighted that VAT exemptions are applied mostly to basic goods and essential services, mainly supporting lower-income households (p. 14). And as we know, lower-income households tend to have a higher marginal propensity to consume, which suggests that the negative consumption effect from higher taxes is larger, meaning that the net multiplier effect could be smaller.

It is also important to note again that Nicaragua's economy has a positive output gap, so the recommendation to spend the potential surplus from higher VAT revenue on

[6] The balance of payments is currently dependent on remittances. If they decline in the future, this risk can become real.

[7] Potential VAT revenue is a theoretical target that does not consider any exemptions or the grey economy.

infrastructure investment is very important, as it can shift LRAS to the right in the next few years rather than shifting AD further out now and pushing mainly inflation.

Another recommendation is better targeting and rationalisation of SOE subsidies (p. 13). According to the IMF, the proceeds saved by this should also be used for infrastructure investment, which similarly to the previous recommendation can transfer proceeds from an "overheated" AD to long-term projects and future shifts of LRAS to the right.

This is tightly linked to corruption and discretionary practices, which along with the rule of law as a whole are also subjects for improvement according to the IMF (p. 14). Both corruption and the lack of rule of law create uncertainty and discourage private investments by decreasing public trust, as well as increasing the costs of public investments. This has a major impact particularly on the LRAS curve. Considering the fact that longer-term investment should be the main focus of the government when the economy is above its potential, improving the rule of law and eliminating corruption are good primary targets now. However, the authorities seem to be questioning the IMF's expertise in governance rather than making a plan for these matters (p. 21), which can negatively affect public trust as well as the trust of foreign investors.

Section 3: Monetary policy analysis

REER

As I wrote earlier, Nicaragua is using a crawling peg exchange rate regime, where the córdoba is pegged to the US dollar, because the US is the main trading partner. For the following analysis, I will use the REER equation:

$$REER = ER_N \, x \, \frac{\pi_D}{\pi_F}$$

The central bank of Nicaragua has been holding the exchange rate against the US dollar at 36.6 córdobas with zero crawl since 2024. As the currency is pegged to the US dollar, the change in interest rates has basically no effect on ER_N, but it can still influence REER by creating pressure on domestic inflation. The BCN holds its interest rates at 6%, while the American Fed keeps them lower at 3.75% (p. 8). Under a flexible exchange rate regime, this would put pressure on the local currency to appreciate, making imports cheaper and exporting firms less competitive[8]. In the crawling peg regime, particularly with zero crawl, the central bank would have to intervene and buy foreign currency to

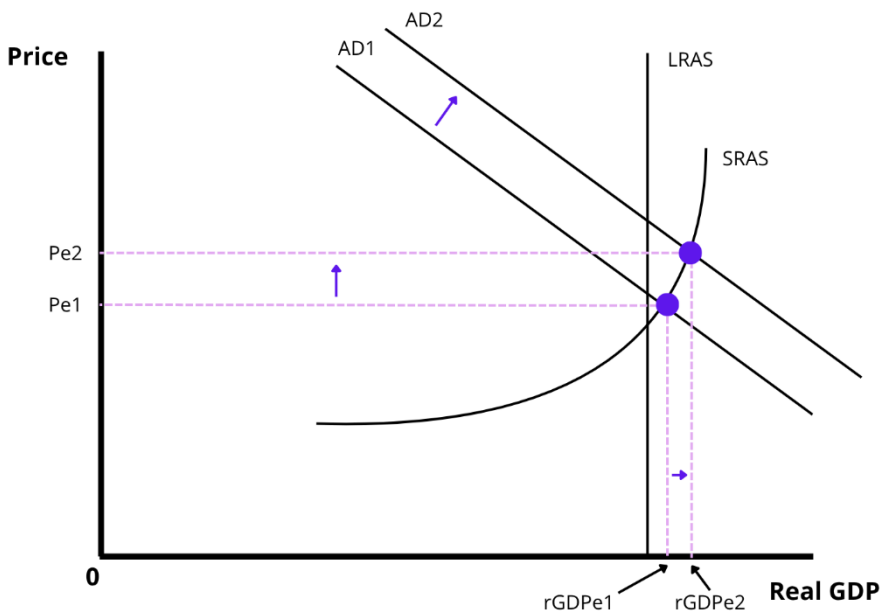
[8] Considering the large difference between US and Nicaragua's asset markets, particularly in terms of risk, this assumption probably would not hold, as investors would most likely not place their investments in Nicaragua simply because of higher interest rates.

prevent the exchange rate from differing from the target value, which would keep ER_N the same.

The main way the BCN can influence REER is by changing the targeted exchange rate. In history, the currency has basically only been depreciated against the US dollar (p. 8). This tends to make the economy more competitive and support exports, but it also makes imports more expensive, thereby promoting the domestic market and decreasing imports[9]. This affects the trade balance (X – M) and pushes the AD curve to the right. As I said in the previous section, Nicaragua's overall trade balance remains negative, so this is one of the tools that the central bank can use to improve it when it sees the need to do so in the future.

Interest rates

The BCN lowered interest rates by 100 basis points from 7% to 6% during 2024 and 2025 (p. 8). This was implemented as a reaction to decreasing inflation and also to the Fed's decrease in interest rates. Here I would like to point out that a further decrease in interest rates could put pressure on I and C to rise, which would push the AD curve further to the right. As the economy is already above its potential, in the current situation this would rather drive rising inflation than a significant increase in GDP. See the following diagram.



[9] This depends on whether there is domestic competition for a particular product. For example, Nicaragua imports almost all of the oil it consumes, and for this commodity it is very unlikely that a depreciation of the currency would have any effect on the imported amount.

This is in line with the IMF recommendation to ease interest rates more slowly and more cautiously than the Fed, because with the higher base, the BCN will now be able to react to potential future crises and risks more effectively (p. 15).

Monetary transmission

In this part I will look more closely at how effectively monetary policy works. In Nicaragua, there are several problems that affect how quickly a change in monetary policy makes a real effect in the economy. The first problem is that although the link between the reference rate determined by the central bank and the interbank rate improved, banks maintain high margins and do not pass through lower interest rates to retail lending and deposit rates quickly (p. 60). This weakens the effectiveness of monetary policy and lengthens the time needed for its effects to appear, since the transmission of new interest rates to households and firms is essential for policy changes to influence the real economy.

The second problem is the high dollarisation of Nicaragua's economy. Although the share of deposits in US dollars declined to 66.6% and the share of credit conducted in US dollars declined to 87.4% (p. 61), these are still huge figures that make it hard for the BCN to influence the actual rates relevant for firms and households, as most of the economy's intermediation is in US dollars, which it cannot affect at all[10]. I would like to note that the BCN is addressing de-dollarisation by increasing the stock of córdoba-denominated securities and maintaining higher yields for the local currency, thereby incentivising deposits in córdobas. Therefore, the situation in this area should continue to improve.

Section 4: Future risks

Changes in US migration policies

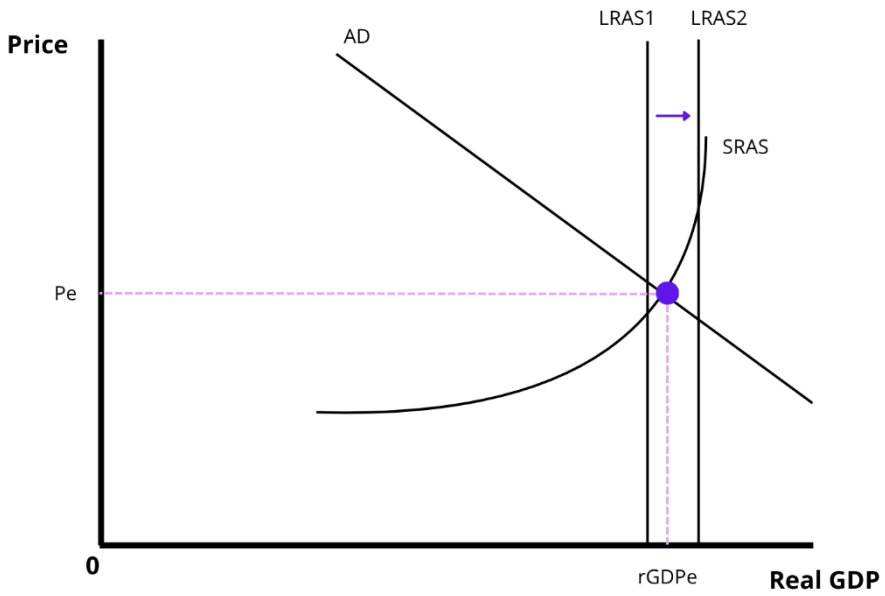
Labour market

Nicaragua currently has an unemployment rate of 3.4%, which I would assume is near or below the natural rate of unemployment (p. 31). This statistic is closely related to the fact that the economy is at its potential, as all available workers are contributing to GDP.

Because of the changed migration policy in the US, Nicaragua should be preparing for migrants returning from there to the local labour market. According to the Article IV report, it is expected that around 100,000 people will return over the next 5 years, with

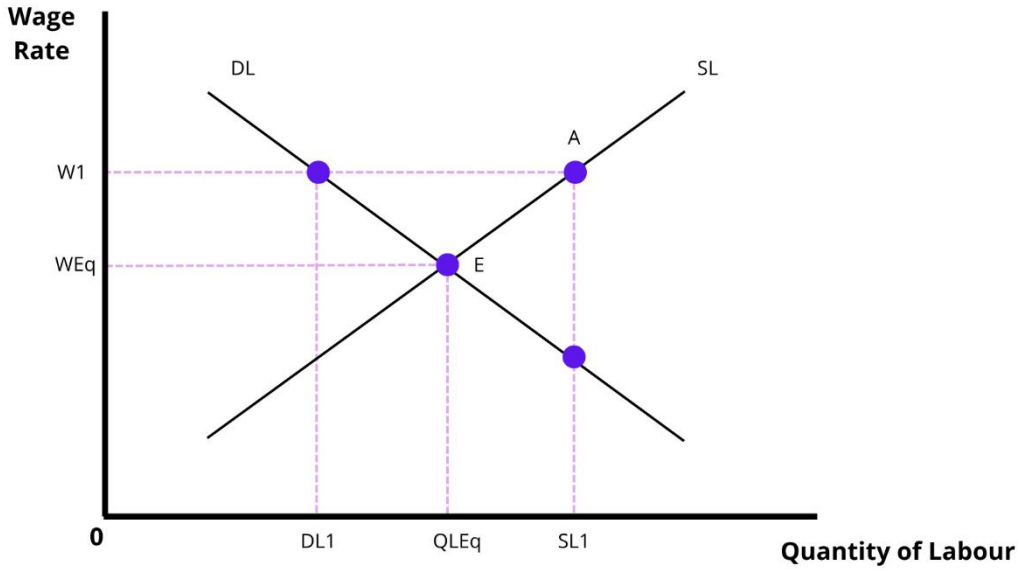
[10] Intermediation in US dollars is influenced by US Fed monetary policy instead.

overall 340,000 at risk of deportation (p. 50). I will demonstrate the effects of this extra labour supply by using the following diagram:

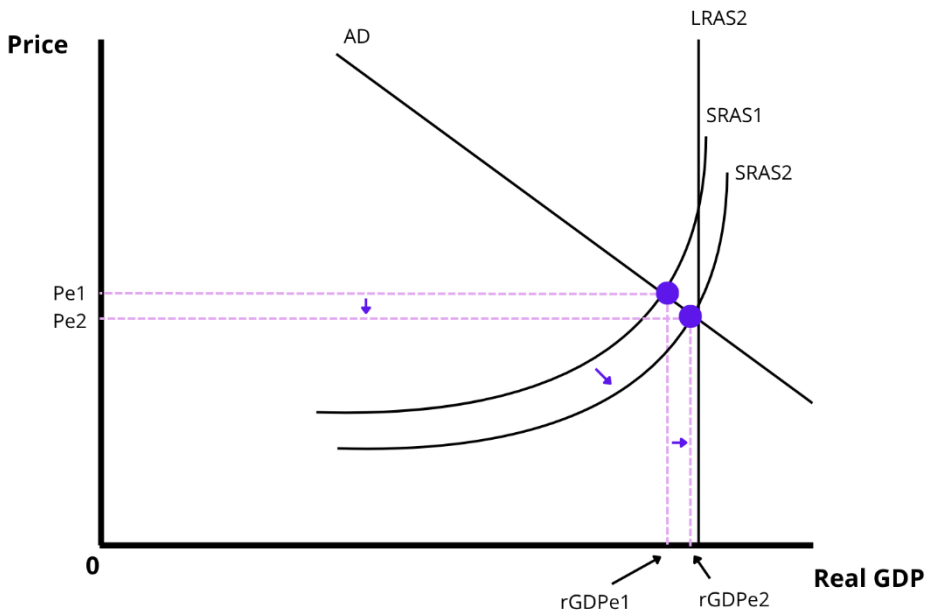


As the supply of labour increases, we can see that the LRAS shifts to the right, increasing output potential. The key is to prepare the economy to be able to absorb these extra workers, which can be achieved by higher government investment in infrastructure as well as by companies investing in technologies and machinery supporting future higher output and hiring (p. 19). The fact that the country's unemployment is currently around or below its natural rate makes this much more positive, as it can enable the country to grow faster. At the same time, it makes it easier for the country to absorb these extra workers, as in many industries they are essentially already needed.

Even if the country is well prepared for this, it is expected to increase unemployment at least in the short run. According to the MAS equation, $\pi_t = \pi^e_{t-1} + (\mu + z) - \alpha U_t$, an increase in unemployment U should create disinflationary pressures. This can be explained by higher labour supply pushing wages down, as shown in the following labour market diagram.



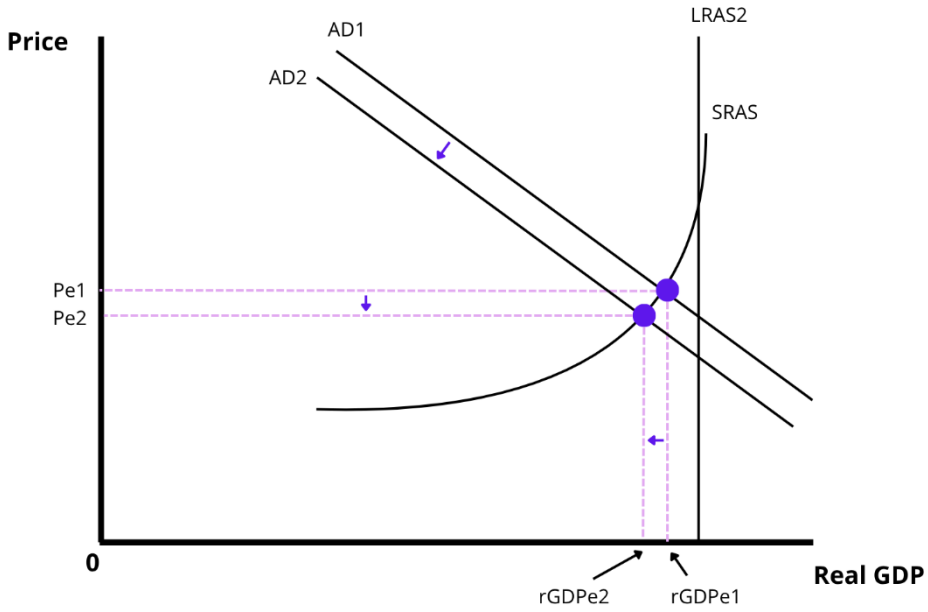
The A point indicates the increase in labour supply. As we can see, companies are willing to hire this quantity of workers at a much lower wage rate, which creates pressure for wages to decrease. The decrease in production costs will then shift the SRAS to the right as well.



Here we can see how an increase in labour supply can cause GDP growth as well as decrease inflationary pressures, as expressed by the MAS equation.

Note that from theory, we know that wages tend to be quite sticky, which means that companies are not able to simply decrease wages according to supply and demand in the market, because of signed contracts or social norms. This can cause the SRAS to do

not shift to the right and instead push unemployment higher. It will most likely also have a negative effect on the AD curve, as higher unemployment would cause a decrease in C. Together with lower remittances, it can shift the AD curve to the left, and as such confirm Okun's Law, which suggests that increasing unemployment causes a decrease in GDP.



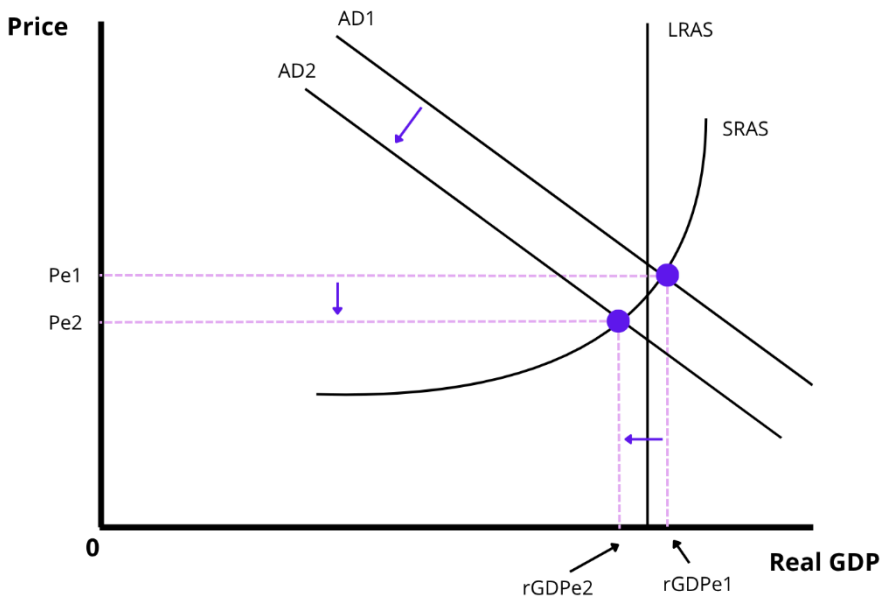
The position of the equilibrium to the left of the LRAS is very important here, as it indicates a negative output gap and represents a larger number of unemployed people.

It is also advised to invest in human capital in order to maintain a high growth rate of the economy. If the country invests in education, in the long run it will support absorptive capacity. Absorptive capacity determines how quickly the economy is able to adopt new technologies and use them to increase productivity and economic growth. This will help to achieve a higher level of export diversification, which is one of the ways noted to increase exports in the future and solve the negative trade balance (p. 19). Surprisingly, new US migration policies can help with this, as they can partially reduce brain drain by stopping educated and highly skilled people from moving to the US for higher incomes and making them apply their potential in Nicaragua instead.

Remittances

Another factor related to migrants returning from the US is the decline in remittance inflows in the upcoming years. As I described in previous sections, Nicaragua has a negative trade balance, and remittances are currently the main force that keeps the balance of payments in positive numbers and creates buffers for the future. Currently, the IMF expects remittances to decrease to 25% of GDP by the end of the decade, from

almost 30% in 2025[11] (p. 51). Decreasing remittances will have a negative effect particularly on C, which can shift the AD curve to the left.



This negative effect will add to the possible increase in unemployment due to the rising labour supply described earlier, putting even more importance on proper preparation for this migration wave.

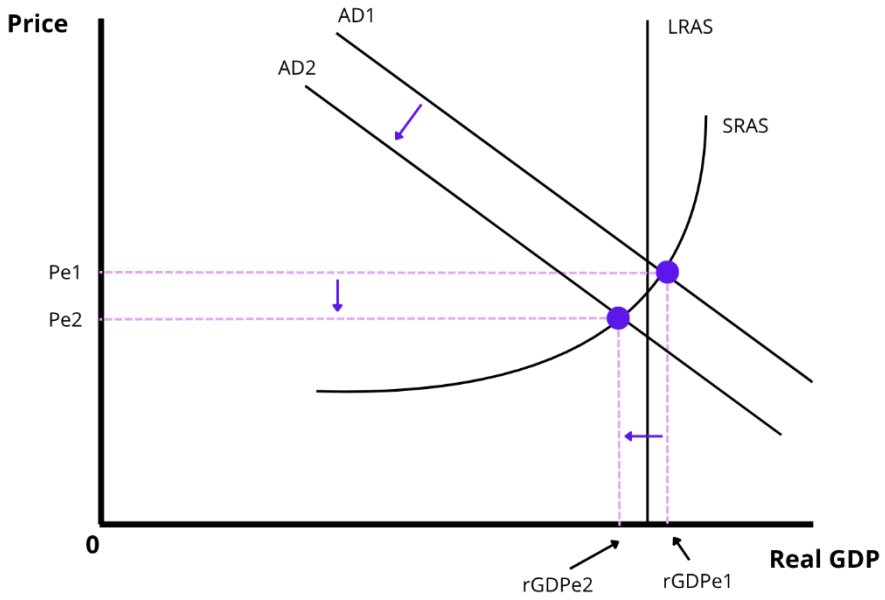
Decrease in balance of payments makes diversification and an increase in exports even more urgent, otherwise the country could get into trouble paying for its essential imports[12].

Tariffs

Similarly to almost all other countries, Nicaragua is facing a significant increase in tariffs that have to be paid on goods imported into the US, Nicaragua's main trading partner for exports, with over a 50% share (p. 47). The announced rate was 18%. However, with exemptions released in November 2025, the effective tariff burden[13] came down to around 14% (p. 49). The tariffs will have a negative effect on Nicaragua's exports, as they make Nicaragua's goods more expensive, affecting their competitiveness against local

[11] Note that future remittances are estimated based on the US GDP growth rate, which is a very broad metric and does not include other relevant factors. For example, the IMF states that the current increase in remittances is caused by changes in US policy and the resulting uncertainty. So we can see that these unpredictable factors can also have a significant impact.
[12] As described in Section 1.
[13] Weighted average.

US alternatives. This will affect the (X – M) part of the AD equation and push the AD curve to the left.



Note that Nicaragua already experienced the effect of tariffs in 2025. However, the negative effect was so far offset by increased gold, coffee, and beef prices, making Nicaragua's exports more profitable (p. 48). However, this may be only temporary, as Nicaragua has no control over commodity prices. Also, it can take some time for local US companies to find cheaper alternatives. So it is possible that they are accepting higher prices[14] now, but will adjust their supply chains in the future[15].

Commodity price volatility

Nicaragua is heavily dependent on market prices of several commodities for both imports and exports (p. 53). As I already mentioned, the largest exported products are gold and coffee, so fluctuations in the prices of these goods affect the country's income and trade balance significantly. Similarly, Nicaragua is a net oil importer, which makes it dependent on prices set by international markets for this essential commodity. As I will

[14] Because of tariffs

[15] It also depends on whether there is a cheaper alternative, because Nicaragua has very low labour and electricity costs compared to other countries in the region, which can make particularly textile prices very hard to beat. Also, I would expect a lower impact for commodities, as they are more likely to depend on availability and likely cannot be easily replaced locally in the US. Some of them are even completely exempt, such as gold.

describe the effects of a price change in an imported commodity later in relation to the Iran conflict, I will now focus mainly on exported commodities.

I will demonstrate how changes in the gold price on international markets can influence the Nicaraguan economy. If the gold price rises, it will increase the overall export income for Nicaragua. This will shift the AD curve to the right. There will be a tendency for the REER to appreciate. However, the crawling peg regime will make the central bank intervene by selling córdobas for US dollars and keeping the ER_N stable. There can be some effect from increasing domestic inflation as the AD curve moves out, therefore, if the inflation of trading partners does not change, there can be some small appreciation of the REER[16]. This fact will make non-gold exports less competitive for Nicaragua. Overall, the situation will encourage investors to put more money into the gold industry, which will negatively affect all other segments of the economy and also contradict export diversification[17], one of the IMF's most repeated recommendations.

If the gold price declines, it will move the AD curve to the left, having exactly the opposite effects, including greater investor interest in other industries, making it easier to diversify exports and produce higher value-added goods and services.

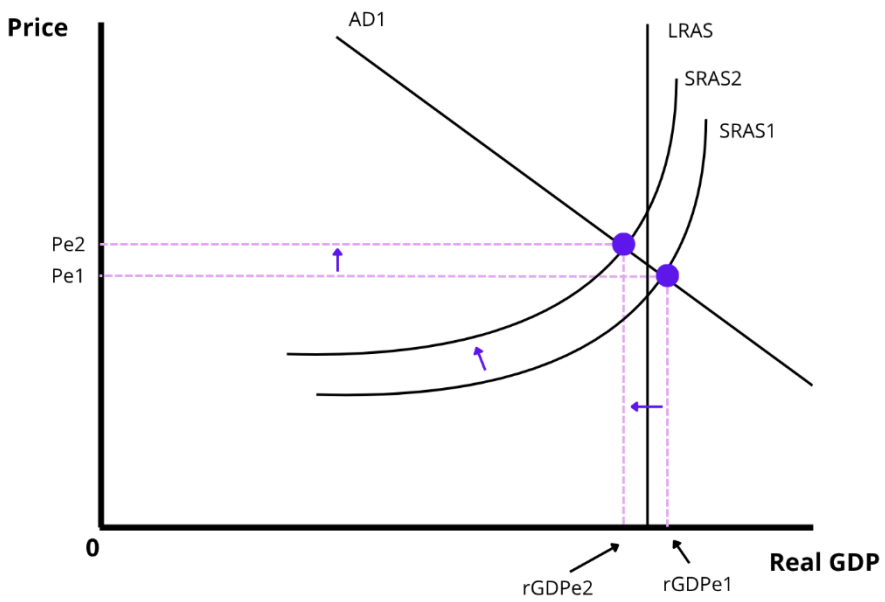
Besides this, high price volatility can also cause significant short-term fluctuations in the balance of payments, which can create further fiscal and trade problems. Therefore, it is very important for the Nicaraguan economy to diversify exports in order to reduce these effects in the future, as the IMF recommends.

Current impacts of conflict in Iran

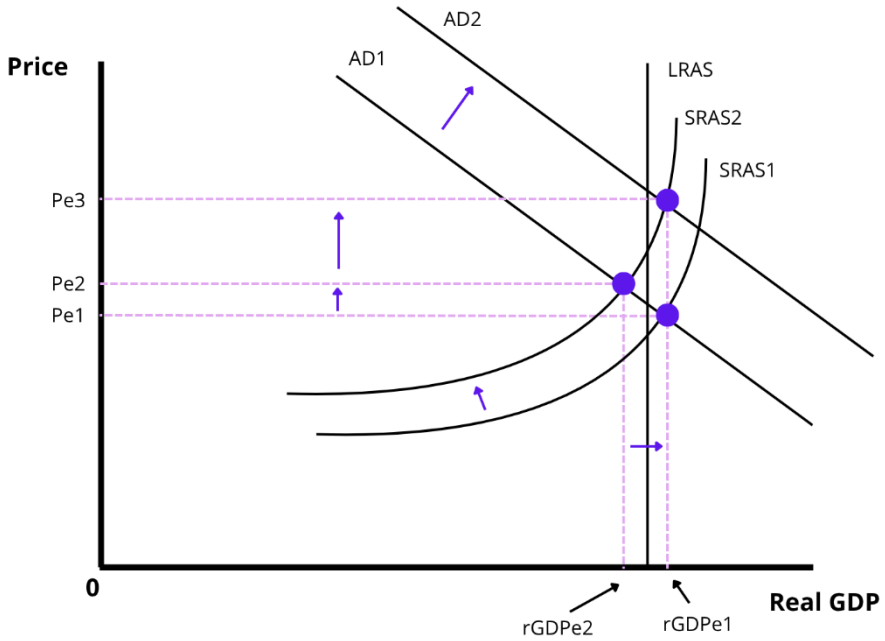
The Risk Assessment Matrix mentions geopolitical tensions as one of the highest risks for Nicaragua. As we are now experiencing the conflict in Iran, which has significant impacts particularly on oil prices, I can demonstrate through this how such a geopolitical conflict will likely influence the Nicaraguan economy.

Nicaragua is a net importer of oil, with around 80% of imports coming from the US (Trademap.org). Higher oil prices should drive inflation up, as oil is used across industries and will likely increase production costs across the whole economy. We call this cost-push inflation. This should cause a shift of Nicaragua's SRAS to the left, as shown on the following diagram.

[16] There is an assumption that economies are not dependent on gold in the same way as they are on oil, for example. For oil, it is likely that an increase in its price will increase inflation in economies. This assumption should not hold for gold.
[17] This concept is called Dutch Disease.



The diagram indicates that this will result in a decrease in GDP output and a rise in prices. The interesting thing to note here is that if the government attempts to push output back up by shifting AD to the right, getting to the same level of output would mean much higher prices than before. Therefore, it is important for the government to assess the situation properly.



In terms of REER, it is important to mention again that Nicaragua is using a crawling peg, with the currency pegged to the US dollar. As such, although pressure coming from this conflict would be toward depreciation against the US dollar, the BCN has to intervene and keep the exchange rate (ER_N) stable. However, it can cause higher domestic

inflation, which then drives REER appreciation. To determine the effect more closely, we would have to assess the expected effect on trading partners as well, mainly the US. The US is a net oil exporter (Trademap.org) and, as such, the oil crisis could push its AD curve to the right, increasing both GDP and prices. However, the US economy is not dependent on oil exports and is very complex, so I think it is unlikely that higher revenues from oil exports would have a significant effect on the AD curve by themselves. For the US, I would assume that cost-push inflation will be the main driver of rising prices as well. Nevertheless, it is likely that both Nicaraguan inflation and the inflation of its trading partners will rise, which can keep the REER stable or cause only a very small change.

As we could see in the first diagram in this section, it is likely that higher input prices will cause Nicaragua's GDP growth to slow down. This will likely negatively influence investment in infrastructure and further improvements in the social welfare system, which are the main areas for targeted government spending proposed by the IMF (p. 2). Besides this, volatility in oil prices usually increases uncertainty, which negatively affects investment, as investors become more conservative and require higher premiums to take on risk. This can cause a decrease in I, but also in potential foreign investment coming into the country.

Conclusion

In conclusion, throughout this essay I have analysed Nicaragua's current macroeconomic position, which is currently solid - GDP is growing above its potential, public debt is declining, inflation is controlled, and international reserves are adequate. However, as I demonstrated across sections, this stability is built on a narrow, US-dependent foundation. Remittances are driving the consumption, the dollar peg is anchoring monetary credibility, and the US remains the dominant export destination. As I showed in Section 4, the major risks facing the economy - changes in US migration policy, tariffs, and commodity price shocks - all target this same structural vulnerability. We can say then that while the current indicators suggest a favourable position, the medium-term outlook is considerably more uncertain, and the economy's heavy reliance on the US makes it exposed to multiple risks at the same time.

References

International Trade Centre (ITC). *Trade Map*. Available at: https://www.trademap.org/ (Accessed: 31 March 2026).

Appendix

I used the AI tool Claude Opus 4.6 in completing this assignment. The tool was used for the following purpose:

Proofreading and correcting grammar and spelling.

Prompt used: "Correct any grammar or spelling mistakes. Focus only on grammar and spelling; do not change the sentence flow or wording."

The text was then checked and proofread by me again to ensure the AI did not make or leave any mistakes.